Growth Overview

Overview

Definition- Is defined as the increasing capacity of an economy to satisfy the material wants of the population

Growth is generally thought to be the most important macroeconomic objective because it determines the future opp set of the economy and enables households to achieve a higher standard of living in material terms

2 Meanings

An increase in the output that the economy produces (**actual growth)**

An increase in what an economy can produce if it is using all of its scarce resources (potential growth)

This potential increase is seen in the productive potentiaal and can be shown in an outward shifr of the PPF

GDP

Is the most frequently used measure of economic performance

Defintion- The total market value of all final goods and servieces produced within a country during a period of time (usually a year)

Actual and Potential Growth

Potential growth- The rate of increase in the capacity of the economy to satisfy the needs and wants of people in an economy

Actual growth- The rate of change in real gross domestic product over a given period of time

Trend economic growth- The average rate of change in the real GDP over a number of years

GDP does **NOT** measure the capacity of an economy (boundary of PPF)

If an economys resources are fully employed there is no difference between productive capacity and actual production

If the economy is in recession the difference is significant

Measurement

Rate of change of GDP is more important as it describes the rate at which material welfare is rising

$$\frac{GDP_{(year\ 2)} - GDP_{(year\ 1)}}{GDP_{(year\ 1)}} \times 100$$

Good Indicator ?

Real GDP measures the money value of all goods and services produced within the territory **adjusted for price changes (at base market price)**

Nominal GDP measured at current market prices and any change in nominal GDP can be a result of a change in output general price level or both (current year prices)

Therefore the real GDP growth rate = the nominal GDP growth rate take the inflation rate

The nominal GDP is a more optimistic value while real GDP paints a more accurate picture

GDP should account for changes in population size over time and population size over space

Real GDP per capita is the most accurate way to measure standard of living over time in a country

Limitations

Income distribution- While economic growth should bring together higher standards of living teh distribution of these benefits is unlikely to be evenly spread

They tend to beneft the owners of non labour resources, workers in growing sectors of economy and workers who are occupationaly and geographically mobile

Australia tends to be a bad example of income distribution despite mass media scrutiny

Gini Coefficient

Summuary of income inequality and in a lorenz diagram is the ratio of the area between the diagonal and the Lorenz curve to the total area under the diagonal

It has a value from 0-1 the closer to 0 is equal and closer to 1 is inequal

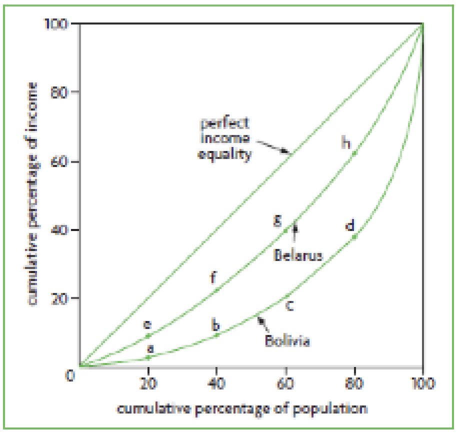

Figure 11.3 Lorenz curves: Belarus achieves greater income equality than Bolivia

Vertical axis is income in an economy in cumulative percentages

Horizontal axis is the population in the economy also in cumulative percentages

Cumulative means that 20 represents the poorest 20 percent whereas 40 is the poorest 40 percent

GDP measures goods where money is exchanged. Some economic activities add to SOL and material welfare but are not assigned monetary value

- Housework, work of charity, voluntary work etc.
- For example a tech advance may reduce cost of production resulting in cheaper and higher quality goods. Real GDPpc may fall but material SOL actually increases due to better goods
- GDP says nothing about quality of products or services over time which directly impacts material welfare
- Value of output not the ability of that output to satisfy wants

Better data collection methods may be conducted which can increase GDPpc but not material welfare as more goods weren't produced